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Group Case 6: Netflix: Pricing Decision

Case Questions

Q1. How did Netflix's cost structure change as the company moved from movies on disk-through-the-mail to streaming?

The move to streaming turned Netflix from a variable cost business to a fixed cost business. In the DVD era costs increased as more discs were being shipped. In the streaming business there was no longer the cost of delivery. Content licence however became a large, fixed cost that needs to be paid despite the number of people who watched. This shift explains why the 2011 price change was needed. It also changes what a good pricing strategy looks like.

The two different businesses have very different structures. DVDs are expensive per use. Each rental costs Netflix about \$1.15. DVD barely covers its own costs because a DVD subscriber watches around 6 in a month which is about \$7 variable cost per month against \$7.99 price.

Cost Per rental	Amount
Postage, round trip	\$ 0.80
Envelope and sleeve	\$ 0.10
Disc wear (\$6/disc / 24 trips)	\$ 0.25
Total	\$1.15

Streaming costs only about \$0.45 per subscriber per month to deliver, but content licensing is a large fixed cost. At the 2011 spend of about \$1.07B a year, that's roughly \$4.36 per subscriber per month, rising to about \$8.13 at a projected \$2B, which is above the \$7.99 price. This makes streaming a scale business. Netflix needs about 22M subscribers to break even on content, so pricing should focus on keeping subscribers rather than charging each one more.

HEVEN Q2. What were the strategic uncertainties facing Netflix as they experimented with streaming video?

Netflix faced several strategic uncertainties as it experimented with streaming video. One major concern was customer behavior, because Netflix did not know how quickly customers would move from DVDs to streaming or how they would react to changes in pricing. Another uncertainty was content availability and cost, since streaming rights were controlled by studios and licensing fees were becoming more expensive. Netflix also faced growing competition from companies such as Amazon and Apple. Overall, Netflix had to determine how to price streaming while keeping customers satisfied, maintaining enough content, and remaining profitable.

NIA Q3. Customers had a bad reaction to the announcement of monthly fees for streaming video; compared to previous prices for movies on disk (which was necessarily constrained by the time to mail back and get new disks), the price seems fair – why was there a backlash?

The backlash from customers happened because they were looking at the new streaming price based on what they were already paying for Netflix, rather than comparing it to the price of renting a movie somewhere else. With the DVD-by-mail model, customers paid one monthly fee and could receive DVDs at home without having to pay for each movie. Even though the number of movies they could watch was limited by how long it took to mail the DVDs back and receive new ones, customers still felt that they were getting a good value from their subscription. When Netflix announced a separate monthly fee for streaming, many customers saw it as Netflix charging them more for something they expected to be part of their existing subscription. This was even more frustrating because the streaming library was much smaller than the DVD library, so customers could feel like they were paying more while actually having access to fewer movies. The price itself may have been fair when compared to other ways of watching movies, but customers had already developed an expectation around Netflix's original pricing and subscription model. Because of this, the change felt more like a loss of value than simply paying for a new service. Overall, the backlash was caused by the difference between the actual price of streaming and the value customers believed they were receiving, along with the fact that Netflix changed a pricing model that customers had already become comfortable with.

Julia Q4. What pricing alternatives would you have suggested at that time? Use the financial information given in the case, explain these options in detail and justify your suggestion given the cost structure changes.

Netflix had three main pricing alternatives in 2011: maintain the separate \$7.99 monthly prices for streaming and DVDs, offer a discounted bundle for customers who wanted both services, or move streaming toward a pay-per-view model. Each option would affect Netflix differently because the company was transitioning from a DVD business with significant variable costs to a streaming business with much higher fixed content costs.

The first option would be to **maintain the existing two-price model of \$7.99 for streaming and \$7.99 for DVDs**, meaning customers who wanted both services would pay \$15.98 per month. The advantage of this option is that Netflix would collect more revenue from customers using both services and would not have to reduce the price of streaming despite the increasing cost of content. This is important because Netflix had spent \$805 million on additions to its streaming library during the nine months ending September 2011, compared with only \$115 million during the same period the previous year. However, the major disadvantage was the customer backlash that had already occurred. Customers viewed the change from \$9.99 for the previous combined service to \$15.98 for both services as a 60 percent price increase. Netflix had already lost 800,000 paid subscribers by the end of the quarter. Continuing with the same pricing structure could therefore result in additional subscriber losses and make it more difficult for Netflix to build the scale needed to support its large fixed content costs.

The second option would be to **offer a discounted bundle for customers who wanted both DVDs and streaming**, while continuing to offer each service separately. The case suggests a combined price between \$11.99 and \$13.99 per month instead of the \$15.98 total price. For example, Netflix could have priced the combined service at **\$12.99 per month**. This would give customers a \$2.99 monthly discount compared with paying \$15.98 separately, while still generating more revenue per combined subscriber than a customer purchasing only one service at \$7.99. The lower bundle price could also encourage more customers to keep both services rather than canceling one or both because of the price increase. This option fits Netflix's changing cost structure because streaming had relatively low incremental delivery costs, while the major expense was the fixed cost of obtaining streaming content. Netflix therefore had an incentive to maintain a large subscriber base that could spread those fixed content costs across more customers.

The third option would be to **abandon unlimited streaming and move toward a pay-per-view model**. Competitors such as Amazon and Apple were charging approximately \$2.99 to \$4.99 per movie. Netflix could have charged customers for individual movies or allowed a certain number of movies per week before charging an additional fee. This model

could make customers pay more based on their actual usage and could generate additional revenue from heavy streamers. However, the case states that streaming customers watched an average of 2.1 movies per week, compared with 1.4 movies per week for DVD subscribers. Moving away from unlimited streaming could therefore make the service less attractive to frequent users and make Netflix's value proposition less differentiated. It would also introduce a pricing system more similar to competitors instead of maintaining Netflix's subscription-based model.

I would recommend the discounted bundle option, with a price around \$12.99 per month for both DVDs and unlimited streaming. The biggest reason is that Netflix needed to balance profitability with customer retention while transitioning to a business with much higher fixed content costs. The company had already seen how strongly customers reacted to the \$15.98 combined price, and the loss of 800,000 subscribers showed the potential cost of pushing the price increase too aggressively. A \$12.99 bundle would still represent a meaningful increase from the previous \$9.99 combined service, but it would be substantially lower than \$15.98 and could make the change easier for customers to accept.

This strategy also takes advantage of the economics of streaming. Unlike DVDs, where each additional rental created costs for postage, packaging, and disk wear, streaming had very low incremental delivery costs. The major financial challenge was the large fixed cost of acquiring streaming content. Therefore, maintaining and growing the subscriber base was important because Netflix could spread those content costs across more subscribers. A lower bundle price could encourage customers to remain subscribers and continue using streaming while Netflix built scale.

The bundle would also allow Netflix to continue separating the economics of its two services without completely abandoning the customer relationship that had been built around the combined Netflix experience. Customers who only wanted streaming could still pay \$7.99, customers who only wanted DVDs could pay \$7.99, and customers who wanted both could receive a discount for subscribing to both. This would give Netflix more pricing flexibility while still making the combined service feel like a better value.

Overall, the pricing decision should not focus only on maximizing the amount charged to each customer. Netflix's transition to streaming meant that **subscriber scale became increasingly important because of the large fixed costs associated with streaming content.** A discounted bundle would reduce the immediate revenue collected from customers using both services, but it could help limit cancellations, preserve Netflix's subscriber base, and support the company's long-term transition toward streaming.

Overall, I would use the \$12.99 bundle not simply as a discount, but as a strategy to rapidly expand Netflix's subscriber base and spread its fixed streaming-content costs across more customers. At \$15.98 per month, Netflix's 11.481 million combined subscribers would generate approximately \$183.5 million in monthly revenue. To generate the same amount of revenue at \$12.99, Netflix would need approximately 14.124 million combined subscribers, representing an increase of about 2.643 million subscribers, or 23 percent. If these additional customers also used streaming, Netflix's streaming subscriber base would increase from approximately 21.4 million to 24.0 million. Annualizing the \$805 million invested in streaming content during the first nine months of 2011 gives approximately \$1.073 billion per year. Spreading this amount across the larger subscriber base would reduce the average content investment per streaming subscriber from approximately \$4.18 to \$3.72 per month, a decline of about 11 percent. Therefore, the objective of the \$12.99 bundle would be to achieve rapid subscriber growth, preserve total revenue, and improve the economics of streaming by spreading fixed content costs across a larger customer base. The strategy would be financially justified if Netflix believed that the lower price could generate or retain at least approximately 2.64 million additional bundle subscribers.